

The Coffee Can Portfolio (managed inside a PMS) can be expected to return 20 per cent annually while a Nifty ETF should deliver a 15 per cent annualized return over the next ten to fifteen years. With 20 per cent allocation to each of these strategies, these two investments act as a solid anchor to Mr Talwar's portfolio. Though the Coffee Can Portfolio is expected to give higher returns, the importance of diversification cannot be overstated. Thus, an equivalent allocation to a Nifty ETF will bring down the dependence on a single strategy, however dependable that strategy might be.

The small-midcap portfolio

We define a small-cap company as one with a market capitalization of less than Rs 3000 crore. (Some people use the benchmark as the market capitalization of the 401st company in BSE 500 which is almost the same number). Given that we define a large-cap company as one with a market capitalization of more than Rs 20,000 crore, by default mid-caps are companies with a market cap larger than Rs 3000 crore but smaller than Rs 20,000 crore.

As discussed in [Chapter 5](#), smaller companies have outperformed larger-cap companies albeit with higher volatility. This is because there is far greater upside possible in a small company than in a large-cap company. The higher growth in smaller companies, however, comes with lower probability of delivering upon this growth. Thus, in a small-cap portfolio, an investor is advised to pick up a larger number of stocks. This does not mean that he/she should pick up low-quality stocks; it just means that there will be some stocks which will be multi-baggers and yet some which will fail to deliver on their promise. As is the nature of portfolio returns, the winners will end up more than compensating for the losers provided the investor buys and leaves the portfolio untouched for a long period of time.

Nikhil reminded Mr Talwar that small-cap companies have higher volatility and would almost certainly fall more than the broader market in a market correction. However, given Mr Talwar's ten-year investment horizon, a good small-cap portfolio held through an entire market cycle should boost